

**Time:** 5 minutes**Outcome:** Identify Oligopoly Structure, Strategic Interdependence & Concentration.**Difficulty:**

●●○ Intermediate

Oligopoly Structure, Strategic Interdependence & Concentration



THE CORE IDEA

Oligopoly is a market in which a few large firms account for much of sales and must anticipate rivals' responses. Concentration describes the distribution of market shares. It can signal strategic interdependence, but market definition, entry, and actual conduct also matter.



HOW TO RECOGNIZE IT

- Look for a market dominated by a few firms with meaningful barriers to entry.
- Each firm's price, output, or advertising decision depends on how rivals are expected to respond.
- Use concentration measures as evidence about structure, not as a complete verdict about competition.
- The defining clue is strategic interdependence among the important firms.

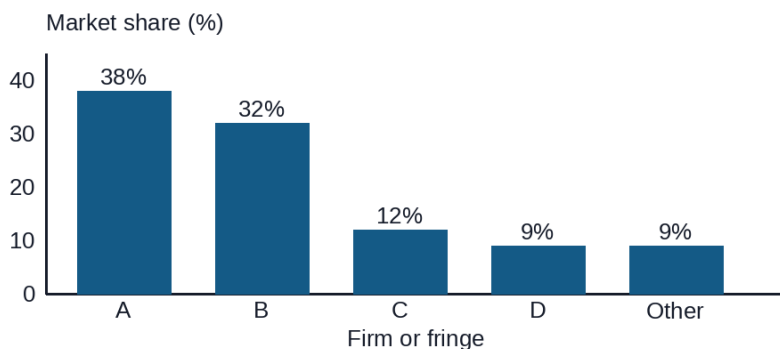


WATCH OUT

Do not use firm count alone. Dominant shares and strategic interdependence point to oligopoly. Concentration depends on the boundaries of the relevant market.



WORKED EXAMPLE: MEASURING MARKET CONCENTRATION



Firms A and B hold 38% and 32%, together 70% of sales. Firms A through D hold 91%; the remaining 9% is a fringe of smaller firms. A large firm considering a price cut must anticipate how its major rivals will respond.



CHECK YOURSELF

Why does the 9% Other category not necessarily represent one large rival?

**READY?**

Return to the game and master this concept.